

Eli Lilly Q3 2025 Earnings Transcript

Blind Sentiment & Directional Score

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** Eli Lilly releases results before the market opens. For pre-market releases the overnight move is defined as $(\text{release-day Open} \div \text{prior-day Close}) - 1$, the direct analogue of the after-hours rule.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Eli Lilly and Company (LLY)
Report	Q3 2025
Release date	Thursday 30 October 2025, before market open
Earnings call	10:00am ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 30 October 2025
Read mode	transcript and news only
Time to produce	61 minutes

Source material (read this first)

Headline financials

- Revenue up 54% year over year, with key product sales of \$12B in the quarter.
- Non-GAAP EPS \$7.02 against \$1.18 a year earlier.
- Gross margin 83.6%, up 1.4 points. Zepbound US prescriptions tripled year over year, taking 71% of new starts. Mounjaro international growth accelerated.

Forward guide

- Full-year revenue guidance raised to \$63.0B to \$63.5B, a \$2B lift at the midpoint.
- Non-GAAP EPS range lifted to \$23.23 to \$23.70.

Hedges and concerns

- US realized prices fell 15% in the quarter.
- The CVS formulary switch created patient and physician disruption, though the Zepbound impact was called modest.
- International obesity reimbursement remains thin, so uptake leans on out-of-pocket payers.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- Lilly had reported positive Phase 3 results for orforglipron, its oral GLP-1, across obesity and diabetes during 2025, with regulatory submissions planned by year end.
- The CVS formulary decision favoring Wegovy from July was a known headwind, and the market wanted proof Zepbound demand had shrugged it off.
- The GLP-1 arms race with Novo Nordisk dominated pharma coverage, with pricing pressure the standing bear case.

FOMC backdrop (point-in-time, Fed event-study linkage)

Added under the Fed extension (Mode B): the most recent FOMC statement released before this print. The statement is scored separately in the Fed event study; its stance doubles as the macro input for the in-prompt conditioning arm.

- **Latest statement:** 29 October 2025 – 25bp cut to 3.75–4.00%.
- **Stance read:** Hawkish-leaning cut: Powell flagged that a December cut was “not a foregone conclusion”.
- **Event-study convention:** statement scored against the short-rate proxy as the primary instrument (SPY, TLT and XLF secondary), close-to-close on statement day; IC against the continuous reaction is primary.

Candidate evidence quotes

1. “Lilly gained market share in the incretin analogs market for the fifth consecutive quarter” – Ricks, prepared remarks.
2. “R&D expenses increased 27%, driven by continued investments in our portfolio” – Montarce, prepared remarks.
3. “We tend to think at a different magnitude about the opportunity here” – Custer, Q&A.
4. “Investors can expect us to be pursuing an all the above strategy” – Ricks, Q&A.

Your scoring – fill in below, then seal

1 Sentiment score

Score: –0.35

Rationale. Enormous growth, but a 15% US price decline and R&D up 27% raise durability questions, and a beat-and-raise may already be in a stock trading at a steep premium.

2 Directional signal

Signal: SELL

Rationale. For a name priced for perfection, falling US pricing and heavy reinvestment are the details that get sold even on a raise. SELL.

3 Structured summary

- **Incretin franchise.** Dominant, with Zepbound taking 71% of new starts.
- **Pipeline.** Orforglipron filings on track for year end.
- **Margins and pricing.** Margins up while prices fall, volume is winning the argument.
- **Forward guide.** Raised \$2B at the midpoint.

4 Evidence quotes

1. “Lilly gained market share in the incretin analogs market for the fifth consecutive quarter” – Ricks, prepared remarks (franchise).
2. “R&D expenses increased 27%, driven by continued investments in our portfolio” – Montarce, prepared remarks (pipeline).
3. “Investors can expect us to be pursuing an all the above strategy” – Ricks, Q&A (strategy).

— SEALED —

Overnight move and call verification

LLY close, 29 October 2025 (day before release)	\$813.53
LLY open, 30 October 2025 (release day)	\$837.50
Overnight move (prior close → release-day open)	+2.95%

Call verification

- HOLD band test: $|+2.95\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **SELL**. The correct call was **BUY**, so the call was **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+ 2.95%
D+1 close	+3.81%
D+3 close	+10.20%
D+5 close	+13.80%
D+10 close	+25.11%
D+20 close	+35.95%

x